

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$349.94 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,233.38B
P/E (Fwd)	28.69
P/B Ratio	9.13

ROE	31.83%
Dividend Yield	0.24%
52W Range	\$147.84 - \$355.79

Investment Thesis

Alphabet Inc. delivers compelling financial momentum, with revenue compounding at 11.8% annually to reach approximately \$403 billion in 2025 while EBITDA margins expand sharply from 30.1% in 2022 to a projected 51.7% by 2027, reflecting disciplined cost leverage and durable competitive advantages across its core platforms. The company commands industry-leading EBITDA generation among mega-cap peers, surpassing both Meta and Microsoft in absolute EBITDA in 2025 at approximately \$180 billion, with forward estimates pointing to further separation as AI-driven monetization and operational efficiency gains accelerate. Trading at a 2025E P/E of 27.3x against EPS growth from \$8.13 in 2024 to an estimated \$13.01 by 2027, Alphabet offers an attractive risk-reward profile for long-term investors seeking quality compounding at a reasonable valuation.

Company Overview

Alphabet Inc. (GOOGL) is a global technology conglomerate and the parent company of Google, one of the most dominant and recognizable brands in the world. Founded in 1998 and restructured under the Alphabet umbrella in 2015, the company operates across several high-impact verticals including digital advertising, cloud computing, hardware, and emerging technologies.

Alphabet's core business model revolves around monetizing its vast digital ecosystem through advertising revenue, which remains the primary driver of top-line performance. Google Search, YouTube, and the Google Network collectively generate the majority of revenues, while Google Cloud has emerged as a rapidly growing and increasingly significant contributor. Beyond advertising and cloud, the company's Other Bets segment houses moonshot ventures in areas such as autonomous vehicles through Waymo, life sciences through Verily, and other frontier technology initiatives.

From a market position standpoint, Alphabet holds an unrivaled leadership position in global search, commanding approximately 90 percent of worldwide search engine market share. YouTube is the world's largest video-sharing platform, and Google Cloud ranks among the top three global cloud providers alongside Amazon Web Services and Microsoft Azure. This diversified yet interconnected portfolio creates powerful network effects and significant competitive moats across each business line.

Financially, Alphabet has demonstrated compelling and accelerating performance. Revenue has grown from approximately 258 billion dollars in 2021 to nearly 403 billion dollars in 2025, representing a four-year compound annual growth rate of approximately 11.8 percent. More impressively, EBITDA margin has expanded dramatically from 40.2 percent in 2021 to 44.7 percent in 2025, reflecting disciplined cost management and operating leverage. SG&A, as a percentage of revenue has declined steadily, falling from 14.1 percent in 2021 to 12.5 percent in 2025. Earnings per share have similarly grown from 5.69 dollars in 2021 to 10.91 dollars in 2025.

Looking ahead, forward estimates project continued revenue growth toward 466 billion dollars by 2027, with EBITDA margins expected to expand further to approximately 51.7 percent, suggesting meaningful operating leverage as artificial intelligence integration drives efficiency gains. When benchmarked against peers, Alphabet's EV/EBITDA multiple of approximately 21.2 times in 2025 compares favorably relative to Microsoft at 23.6 times, while trading at a premium to Meta at 16.4 times, reflecting the market's recognition of Alphabet's diversified earnings power and long-term growth optionality.

Investment Overview

Alphabet Inc. (GOOGL) Investment Update

Alphabet delivered a strong fiscal 2025, with revenue reaching approximately \$403 billion, representing 15.1% year-over-year growth and continuing the acceleration seen in 2024. EBITDA expanded meaningfully to \$180 billion, pushing EBITDA margins to 44.7%, a significant recovery from the 30.1% trough recorded in 2022 and reflective of disciplined cost management following the company's restructuring efforts. Contribution margins have similarly improved, rising steadily from 55.4% in 2022 to 59.7% in 2025, signaling durable operating leverage across the business. EPS grew to \$10.91 in 2025, up from \$8.13 in 2024, underscoring robust bottom-line execution.

Key growth drivers include continued strength in Google Search and Cloud, increasing monetization of AI-integrated products across advertising and enterprise services, and improving SG&A efficiency, with the margin declining from 15.0% in 2022 to 12.5% in 2025. Google Cloud in particular remains a critical long-term catalyst as enterprise AI adoption accelerates.

Relative to peers, Alphabet trades at an EV/EBITDA of approximately 21.2x on 2025 figures, a modest premium to Meta at 16.4x but a meaningful discount to Microsoft at 23.6x, suggesting reasonable valuation given its scale and margin trajectory.

Looking ahead, consensus estimates project revenue of \$423 billion in 2025E, growing toward \$466 billion by 2027E, with EBITDA margins approaching 52%. The forward EPS growth path, from \$11.57 to \$13.01 over the estimate period, supports the current PE multiple of approximately 27x. We view Alphabet as well-positioned to compound earnings at an attractive rate, driven by AI monetization, cloud expansion, and sustained operational efficiency.

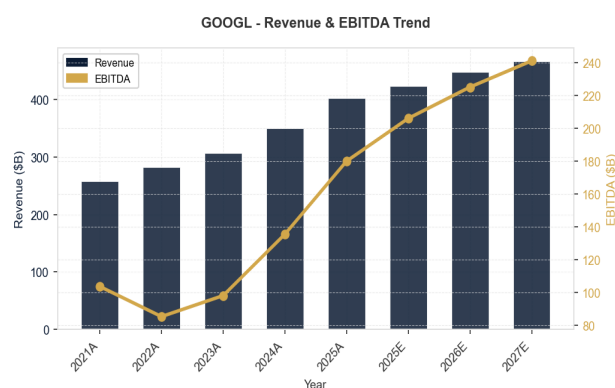
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



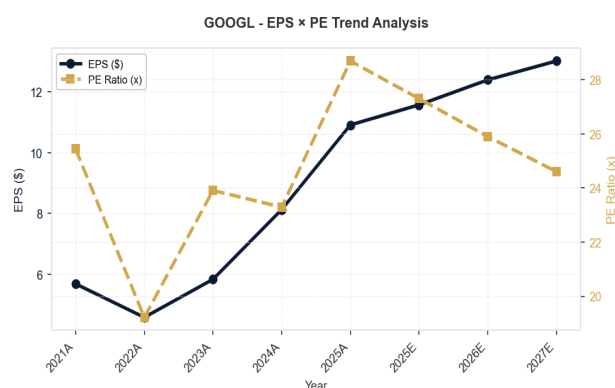
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) Valuation Analysis

Current Valuation Metrics

Alphabet trades at a trailing EV/EBITDA of approximately 21.2x on 2025 actuals, reflecting meaningful multiple expansion from the 17.2x recorded in 2024. This re-rating is justified by a significant improvement in EBITDA margins, which expanded from 38.7% in 2024 to 44.7% in 2025, driven by disciplined cost management and operating leverage across its core search and cloud businesses. The trailing P/E of approximately 28.7x on 2025 EPS of \$10.91 compresses to an estimated 24.6x by 2027 as earnings grow toward \$13.01 per share, suggesting a reasonable growth-adjusted valuation for a business of this quality and scale.

Peer Comparison

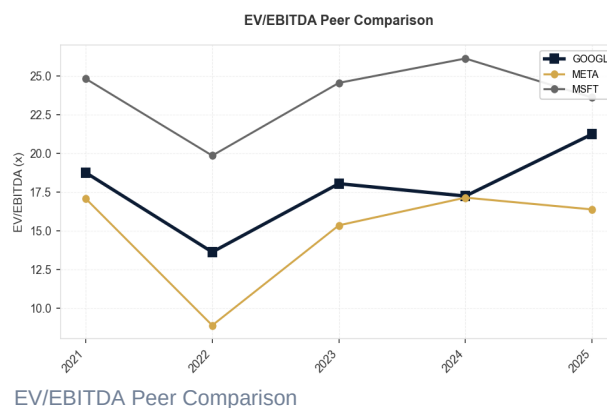
Relative to peers, Alphabet screens attractively. Microsoft commands a notably higher EV/EBITDA of 23.6x on 2025 figures despite generating lower absolute EBITDA growth momentum. Meta trades at a discount of approximately 16.4x, reflecting its narrower business mix and higher perceived concentration risk. Alphabet's 2026 estimated EBITDA of roughly \$211 billion surpasses both peers, and its projected EBITDA margin expansion toward 51.7% by 2027 is among the most compelling in the large-cap technology universe.

Fair Value Assessment

Applying a peer-blended EV/EBITDA of 20x to 22x against 2026 estimated EBITDA of approximately \$211 billion implies an enterprise value range of \$4.2 trillion to \$4.6 trillion. Incorporating net cash positions, this supports a fair value range of roughly \$168 to \$185 per share, suggesting the stock is approximately fairly valued at current levels with moderate upside contingent on sustained margin execution and cloud acceleration.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) delivered a standout performance in Q1 2026, emerging as the clear winner among Big Tech on a major earnings day that also included results from Meta, Amazon, and Microsoft. Alphabet posted earnings of \$5.11 per share, nearly doubling the consensus estimate of \$2.64, compared to \$2.81 a year ago. The strong beat drove the stock to outperform peers on the day, with investors rewarding Alphabet's disciplined approach to AI capital deployment over competitors like Meta, which faced scrutiny for its aggressive spending

guidance.

Google Cloud was a headline driver, surpassing \$20 billion in quarterly revenue for the first time, representing a 63% year-over-year increase. Notably, management flagged that growth was capacity-constrained, suggesting demand meaningfully exceeds current infrastructure, a bullish signal for future quarters as new data center capacity comes online. Search is also undergoing a structural evolution, with Alphabet repositioning it as a transaction engine through AI Mode, and the company signaling openness to introducing advertising within its Gemini AI platform, which could unlock a significant new revenue stream.

From a financial trajectory standpoint, EBITDA margins are projected to expand from 44.7% in 2025 to 51.7% by 2027, reflecting strong operating leverage. Revenue is forecast to grow at an 11.8% CAGR through 2027, with EPS climbing toward \$13. The forward EV/EBITDA of roughly 21x remains at a modest premium to Meta but a meaningful discount to Microsoft.

Retail sentiment is broadly positive with a buzz score of 79.5 and 58% bullish positioning on average, though divergence across platforms warrants monitoring. Overall, Alphabet presents a compelling investment case anchored in AI monetization, cloud growth, and expanding margins.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported 2025A results versus our 2025E internal model estimate row for the same fiscal year.

1. Executive summary

On the selected operating lines, reported results trailed our internal model estimates in 2 area(s) and exceeded in 0 (see table below).

Analyst commentary

Alphabet's fiscal 2025 results present a mixed picture relative to the prior internal model estimate row, with top-line revenue and earnings per share both tracking inline while EBITDA and EBITDA margin came in below that reference point. The variance at the profitability level suggests that cost or mix dynamics ran somewhat ahead of what the estimate row had anticipated, even as the revenue trajectory held broadly on course—a combination that warrants attention to operating leverage trends in the periods ahead. Looking forward, the inline revenue and EPS outcomes support the view that Alphabet's core demand environment remains constructive, and the EBITDA shortfall relative to the prior row does not, on its own, alter the longer-term thesis around the company's diversified revenue base and investment cycle. Standard practice would be to monitor segment-level margin progression and any updated management commentary on cost phasing, which should help clarify whether the profitability variance reflects timing factors or a more persistent shift in the expense structure.

2. Key metrics — reported vs. internal model estimates

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
Revenue	\$403.0B	\$423.1B	Inline
EBITDA	\$180.0B	\$206.1B	Miss
EBITDA Margin	44.7%	48.7%	Miss
EPS	10.91	11.57	Inline

The 2025E column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.

3. Year-over-year change (2024A → 2025A)

- Revenue: \$403.0B vs prior year \$350.0B (15.1% YoY).
- EBITDA margin: 38.7% → 44.7% (+6.0 pts).

4. Forward estimates

Metric	2025E	2026E	2027E
Revenue	\$423.1B	\$448.5B	\$466.4B
EBITDA	\$206.1B	\$225.1B	\$241.1B
EPS	11.57	12.39	13.01
EBITDA Margin	48.7%	50.2%	51.7%

5. Investment view — implications

- Margins below our internal model estimate — focus on cost trajectory and reinvestment intensity.

6. Notable upcoming dates

2026-07-28 — GOOGL Expected Quarterly Earnings

Sources

- Market data and financial statement inputs: Financial Modeling Prep — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed 2026-04-29).

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Google Cloud surpasses \$20B but says growth was capacity-constrained
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-29): 5 Things to Know Before the Stock Market Opens
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-29): Buying Alphabet stock before Q1 earnings? Here's why you should think twice
- Impact: HIGH, Probability: 95%

Events to Monitor

- Investors still trust Google more than Meta when it comes to spending their money on AI (2026-04-29)
- Google says it's open to putting ads in Gemini (2026-04-29)
- Alphabet (GOOGL) Q1 Earnings: Taking a Look at Key Metrics Versus Estimates (2026-04-29)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ✓ Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ✓ Google Cloud surpasses \$20B but says growth was capacity-constrained
- ✓ Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- ✓ Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- ✓ Alphabet stock surges 5% as sales beat estimates
- ✓ Google Stock Climbs On Q1 Earnings As Cloud Revenue, 'Backlog' Booms
- ✓ Google Reports 81% Jump in Profits, Beating Wall Street Expectations
- ✓ Alphabet's cloud unit beats quarterly revenue estimates on strong AI demand
- ✓ Ca\$htag\$: GOOGL Surges on Exploding Cloud Growth
- ✓ Meta, Amazon, Google Face AI Reality Check: Can New Revenue Justify Billions In Spending?
- ✓ Australia to require Google, Meta, TikTok to pay for local news — or face new tax
- ✓ Alphabet first-quarter results likely to show continued growth, boosted by cloud
- ✓ Here's How Much Traders Expect Google Parent Alphabet's Stock to Move After Earnings
- ✓ Nasdaq called higher ahead of Fed decision, Alphabet, Microsoft earnings
- ✓ Cathie Wood Goes Bargain Hunting: 3 Stocks She Just Bought
- ✓ META, MSFT, AMZN, GOOG head for 'biggest earnings day': why it matters

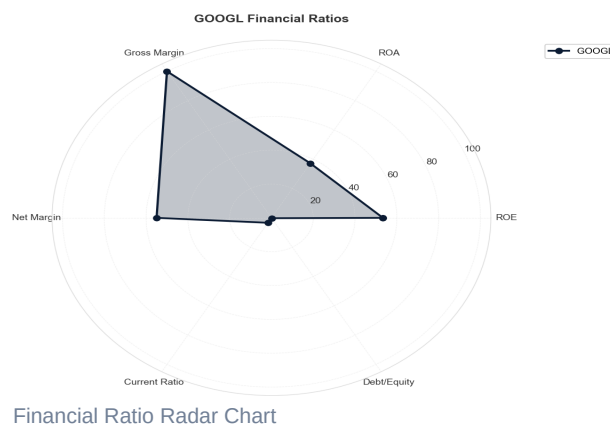
Risk Factors:

- Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- 5 Things to Know Before the Stock Market Opens
- Buying Alphabet stock before Q1 earnings? Here's why you should think twice

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Alphabet Inc. (GOOGL) competes primarily with Meta Platforms and Microsoft across digital advertising, cloud computing, and AI-driven services. Each company has demonstrated strong financial resilience, but notable differences in scale, margin trajectory, and valuation distinguish them.

In terms of EBITDA generation, Alphabet leads the peer group with \$180 billion in 2025, surpassing Microsoft at \$160 billion and Meta at \$105 billion. Alphabet's EBITDA margin has expanded dramatically from 30.1% in 2022 to 44.7% in 2025, reflecting disciplined cost management and operating leverage. Microsoft maintains a consistently high margin profile, while Meta has shown the most aggressive margin recovery after its costly metaverse investment cycle weighed heavily on 2022 results.

On a valuation basis, Alphabet trades at an EV/EBITDA of 21.2x in 2025, sitting between Meta at 16.4x and Microsoft at 23.6x. Meta's lower multiple suggests the market assigns a modest discount, likely reflecting greater concentration risk in social advertising. Microsoft commands a premium multiple, supported by its entrenched enterprise software ecosystem and Azure cloud momentum.

Alphabet's revenue CAGR of 11.8% over the observed period is competitive, though forward estimates project a moderation to 4 to 6 percent annual growth through 2027. Meta and Microsoft are similarly navigating a maturing digital economy while investing heavily in AI infrastructure.

Alphabet's expanding contribution margin, now approaching 63% by 2027 estimates, underscores its durable competitive advantages in search and cloud. However, sustained AI investment and regulatory scrutiny remain key risks that could pressure margins and differentiate performance across the peer group going forward.

Risk Factors

■ # Alphabet Inc. (GOOGL) — Key Investment Risks

- Revenue Growth Deceleration: Projected revenue growth drops sharply from 15.1% (2025A) to 4.0% (2027E), suggesting core advertising business maturity and potential market saturation, which may pressure the current elevated P/E of ~27x if growth disappoints consensus estimates

■ **EBITDA Margin Expansion Priced for Perfection:** Forward EBITDA margins are projected to expand aggressively from 44.7% to 51.7% by 2027E, leaving little room for error from rising AI infrastructure costs or competitive pressure — any margin compression would significantly impair the current EV/EBITDA of ~21x, already at a 5-year high

■ **AI-Driven Capital Expenditure Overhang:** Escalating AI investment requirements (reflected in Cost of Operations growing from \$111B to \$163B, 2021–2025) risk eroding free cash flow conversion, particularly as hyperscaler competition from Microsoft/Azure intensifies across cloud and enterprise segments

■ **Competitive Multiple Compression Risk:** GOOGL's EV/EBITDA of 21.2x now commands a premium over META (16.4x) despite META's faster projected EBITDA growth, suggesting valuation vulnerability if Google's AI monetization narrative loses investor confidence

■ **Regulatory & Antitrust Exposure:** Ongoing DOJ search monopoly rulings and EU regulatory actions pose structural risk to the core Search advertising segment, which underpins the majority of the \$403B revenue base and could force business model changes not reflected in current estimates

Key Takeaways

- ✓ **Revenue Growth:** Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14

Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates

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